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Investor Presentation | Asia Pacific

China Outlook Amid AI And Energy Super Cycle

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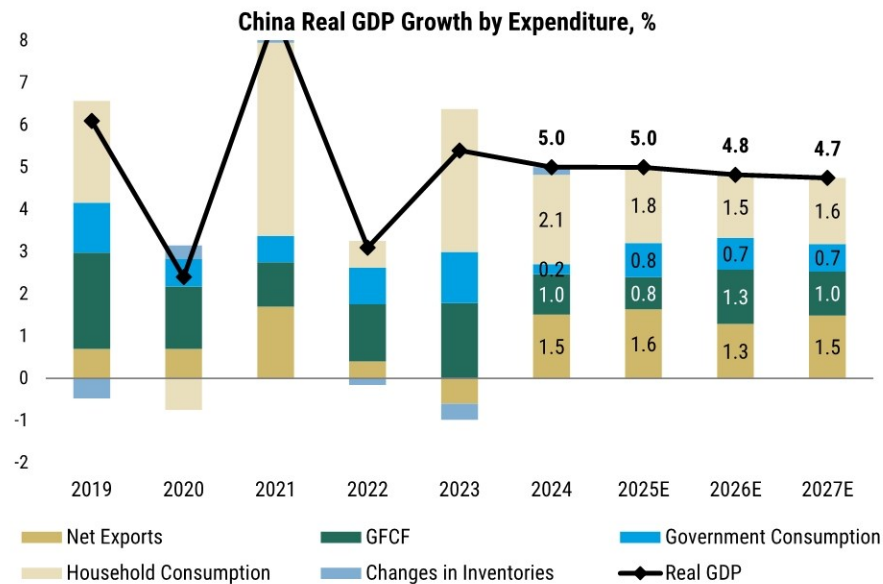


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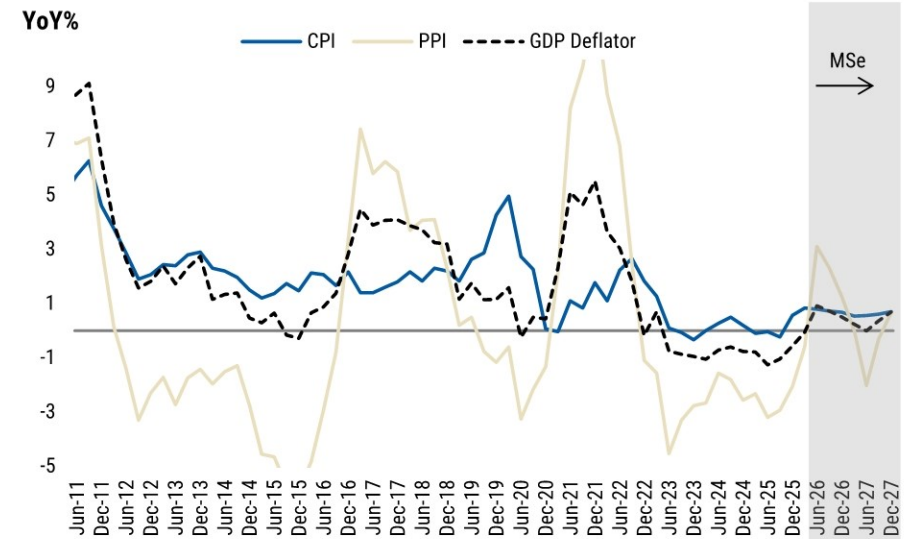
Economic Outlook

A Two-speed Economy, Stable in Aggregate

Exports driving growth amid AI and energy capex super-cycle



Inflation is rising but reflation is narrow



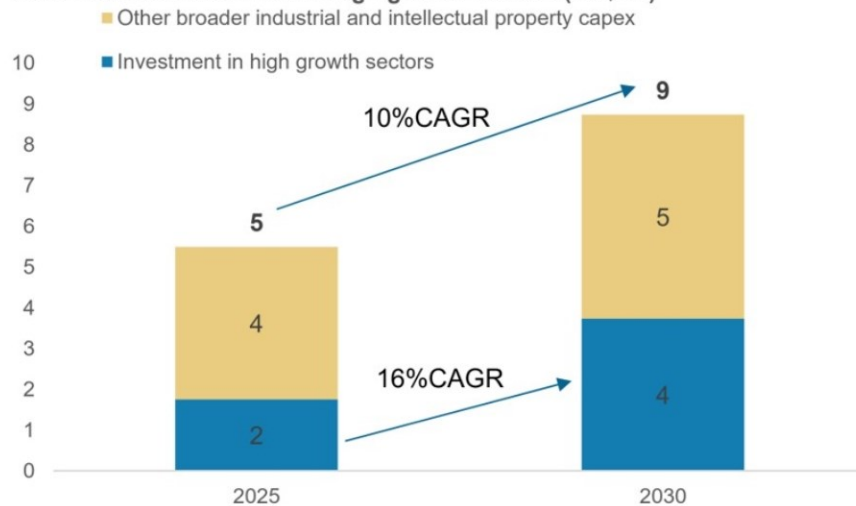
Source: CEIC, Morgan Stanley Research estimates.

Economic Outlook

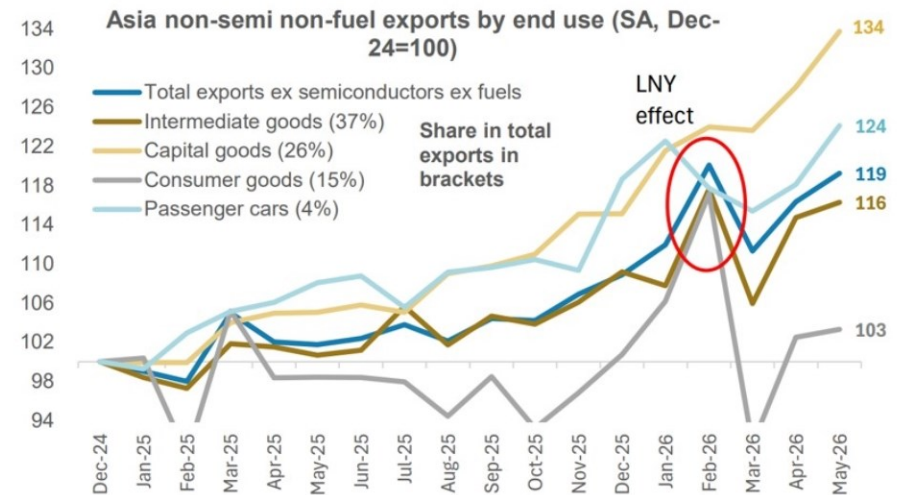
The Rising Asia Industrial Super-cycle...

Asia is likely to enter its strongest industrial cycle since the mid-2000s, not just an AI/tech story

Asia nominal investment in high growth sectors (US\$trn)



The recovery in non-tech exports has been broad-based

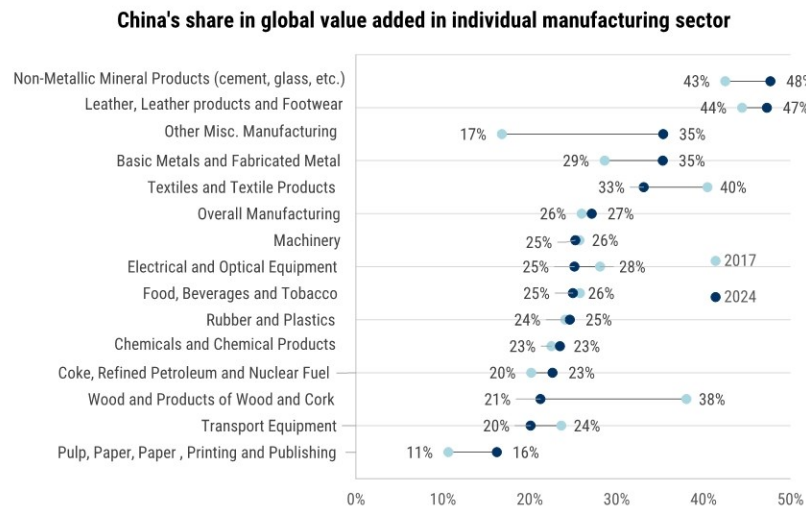


Source: Haver, Morgan Stanley Research estimates.

Economic Outlook

...Is Set to Benefit China's Exports, Anchoring Growth Momentum

China has a dominant share in global value-added across manufacturing sectors



We expect China's global export market share to rise to 16.5% by 2030



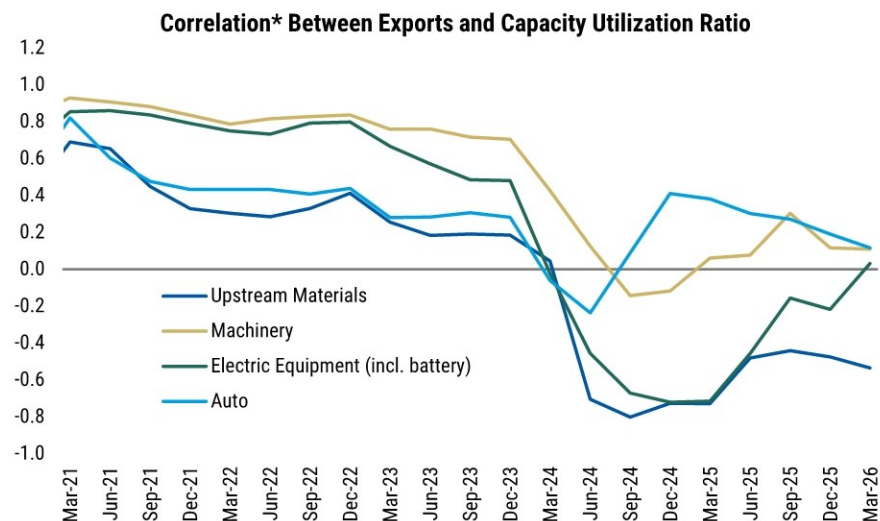
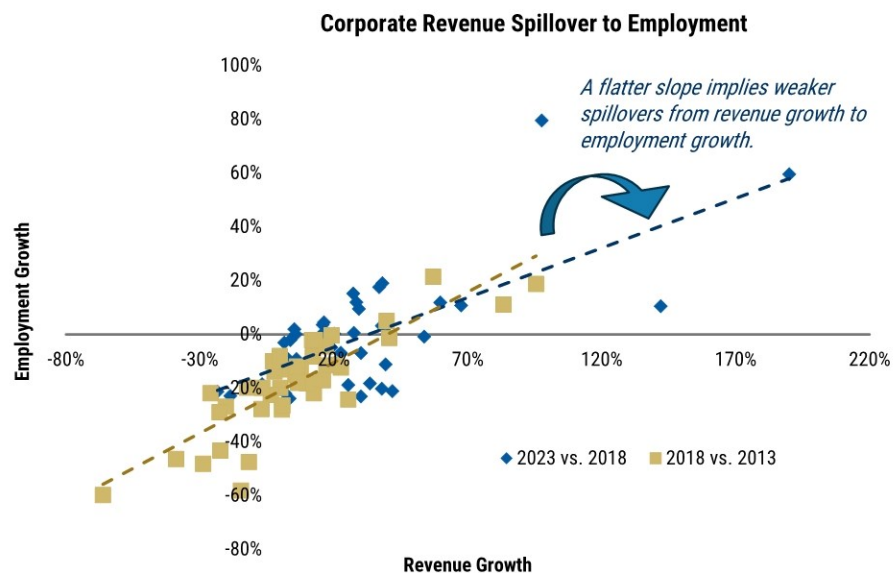
Source: CEIC, Morgan Stanley Research estimates. For more details, see [Asia Economics: Why China will widen its lead in global manufacturing exports](#) (7 Dec 2025).

Economic Outlook

That Said, the Positive Spillover to the Broader Economy Could be Milder This Time

Employment may receive less support as the industrial sector becomes more capital-intensive and automated

Reduced transmission effect of export strength to capex given pervasive excess capacity



Source: NBS, Economic Census, Morgan Stanley Research. Note: RHS: 3-year rolling correlation.

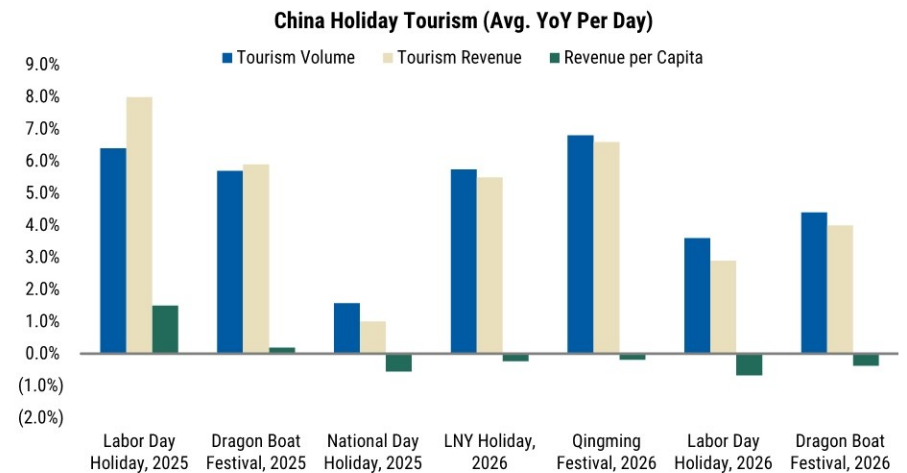
Economic Outlook

Deepening K-shaped Economy: Subdued Consumption...

Moderating growth in trade-in related goods consumption amid a high base



Holiday travel: Strong footfall, weak wallet conversion

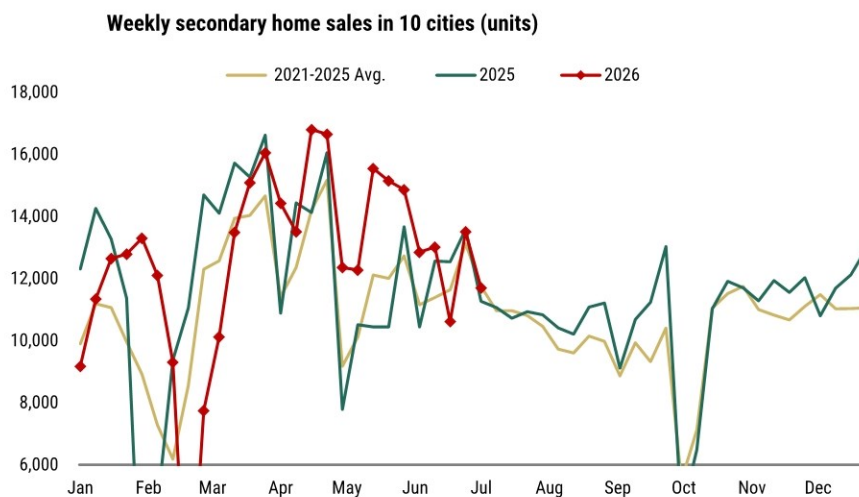


Source: Ministry of Culture and Tourism, CEIC, Morgan Stanley Research.

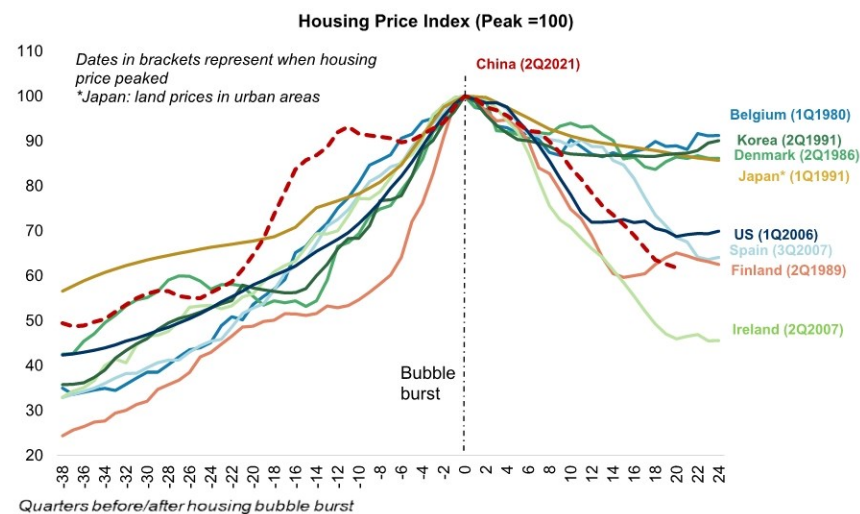
Economic Outlook

...and Renewed Softening in Housing Sales

Secondary housing sales weakened again



Ongoing housing price adjustment

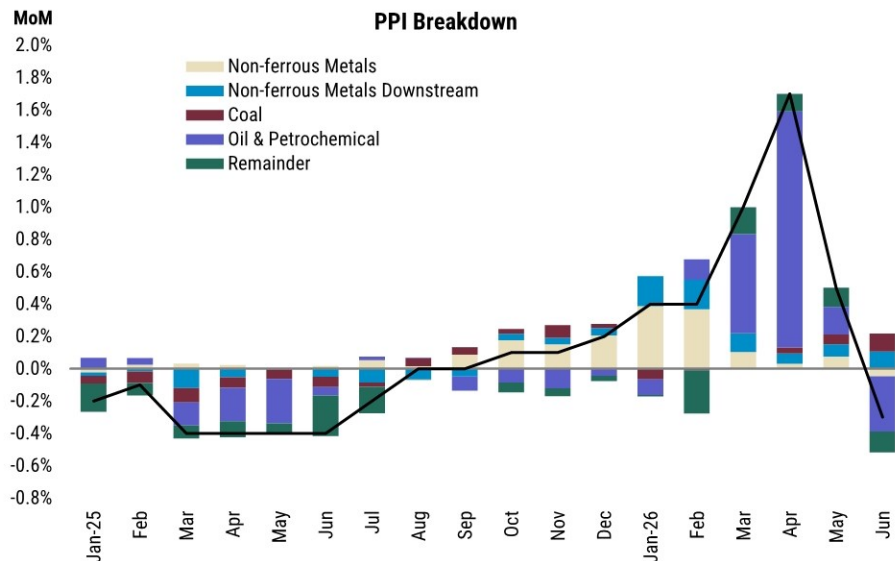


Source: Wind, Bingshan, BIS, Morgan Stanley Research.

Economic Outlook

Reflation Momentum is Waning

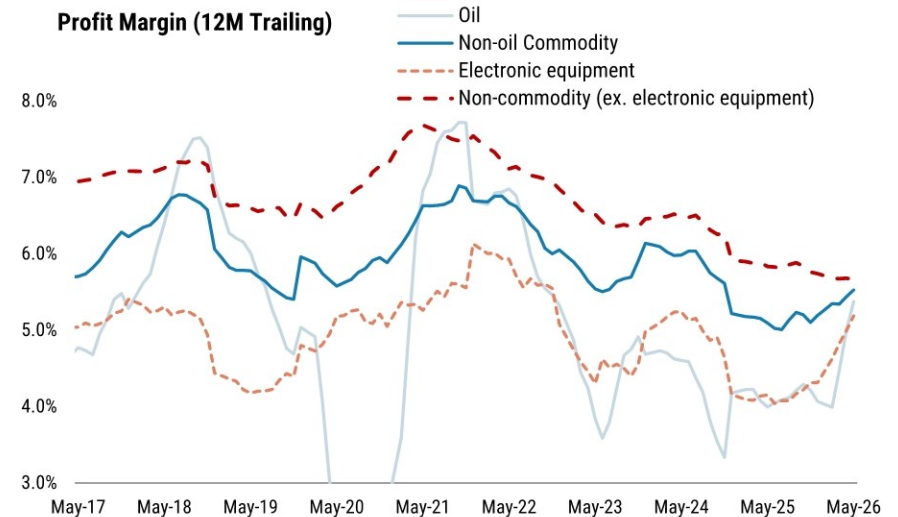
PPI MoM turned negative in June led by lower oil prices



For reflation to broaden, we would need to see:

- (1) Continued investment deceleration in oversupplied sectors;
- (2) Sustained export strength; and
- (3) Most importantly, a consumption pick-up.

Compressed downstream margins amid sluggish final demand

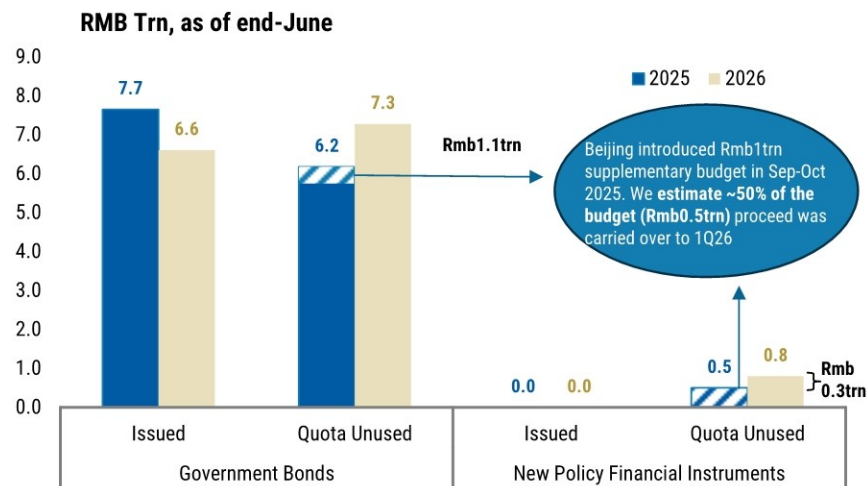


Source: CEIC, Morgan Stanley Research.

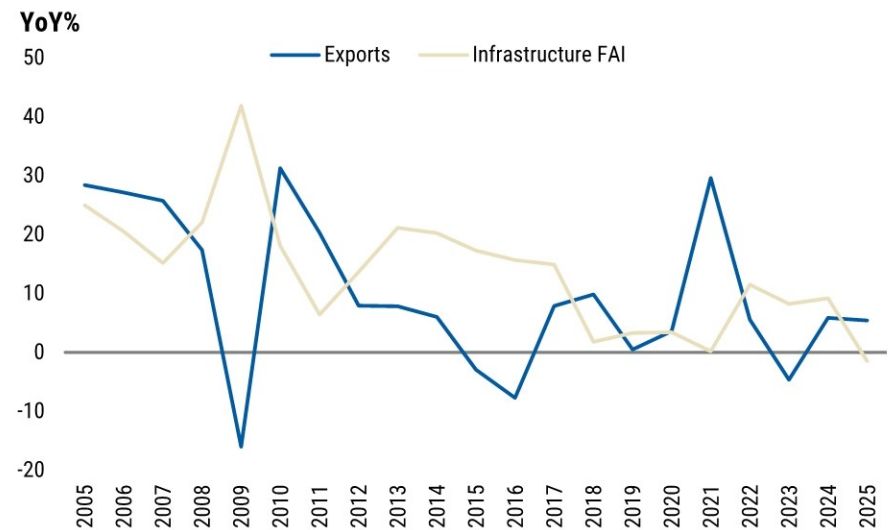
Economic Outlook

Policy to Be Fine-tuned, Not Pivot

Beijing to focus on budget rollout, not budget expansion, given room for ~Rmb2trn fiscal impulse in 2H...



...and export resilience reduces urgency for additional countercyclical easing

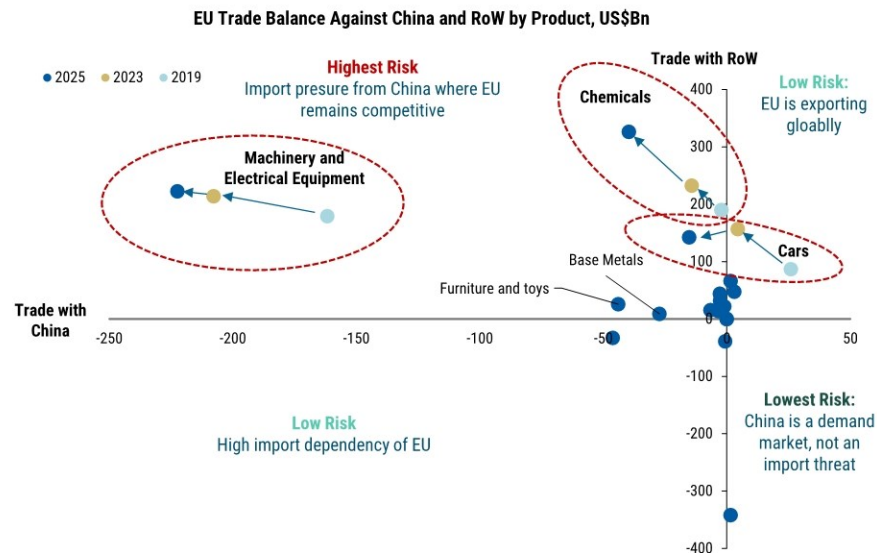


Source: MoF, CEIC, Morgan Stanley Research.

Geopolitics: China-EU

Navigating Preferences, Dependencies, and Choke Points

EU reacts to rising trade deficit with China



But the risk is likely manageable

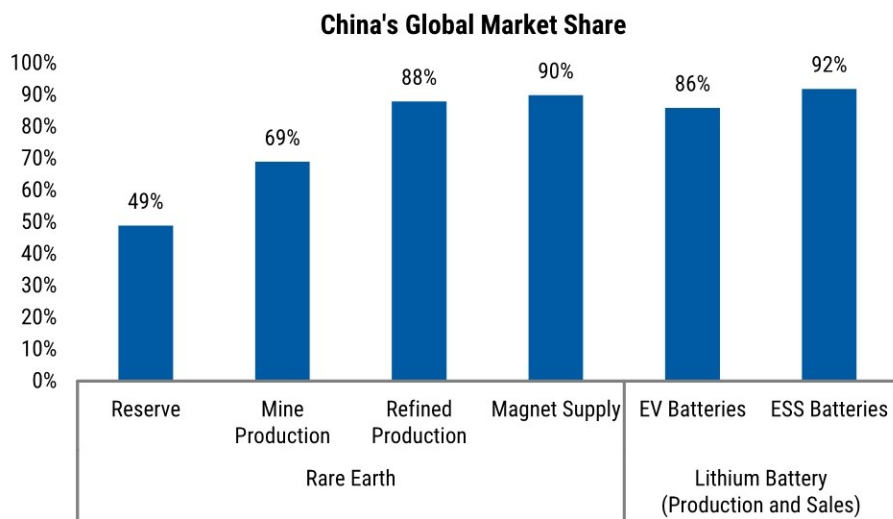


Source: UN Comtrade, Morgan Stanley Research.

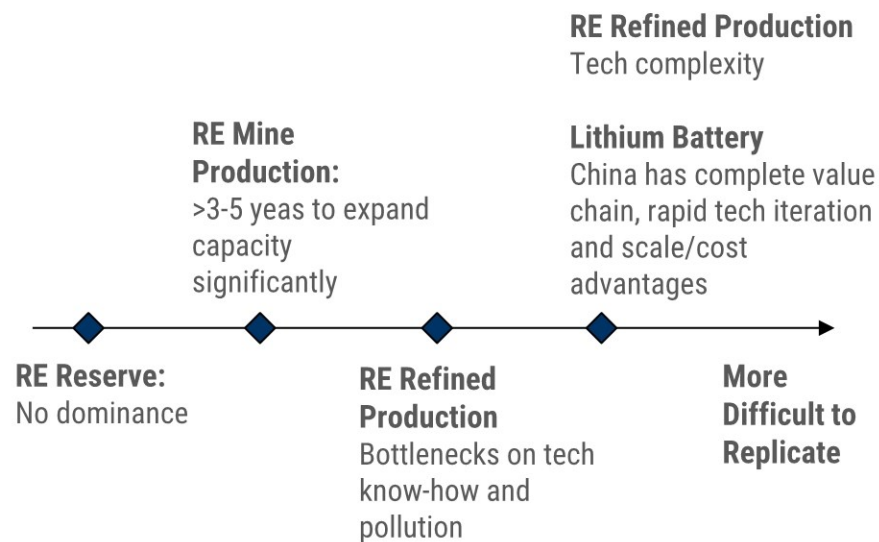
Geopolitics: China-US

"Limited Truce+": Strategic Stability Underpinned by Chips/Rare Earths Equilibrium

China's global dominance in rare earths and lithium batteries



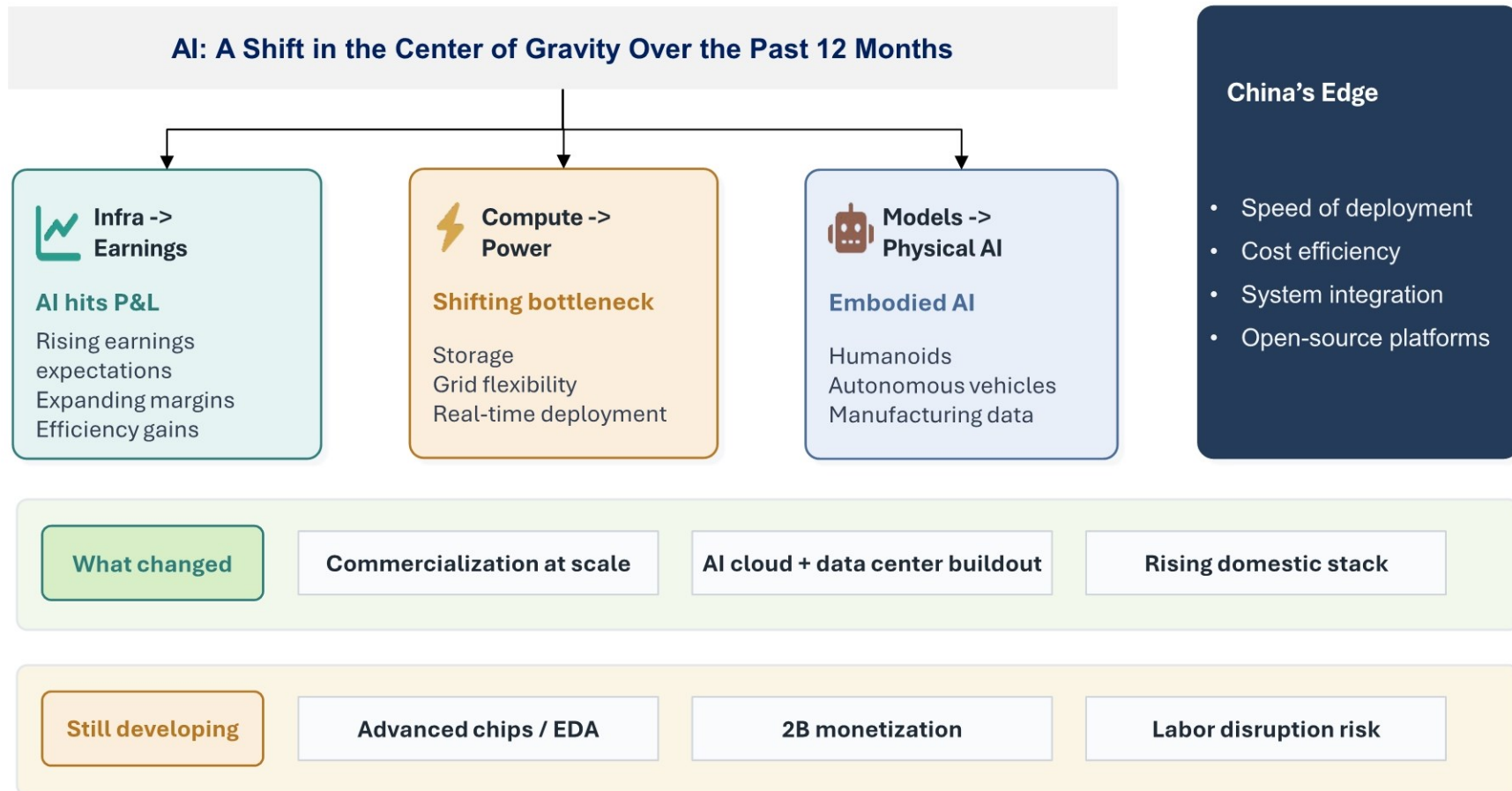
How durable is China's dominance?



Source: US Department of Energy, company data, EV tank, SNE, Morgan Stanley Research.

Structural Opportunities

China AI 2.0: Entering a New Phase



Source: Morgan Stanley Research.

Structural Opportunities

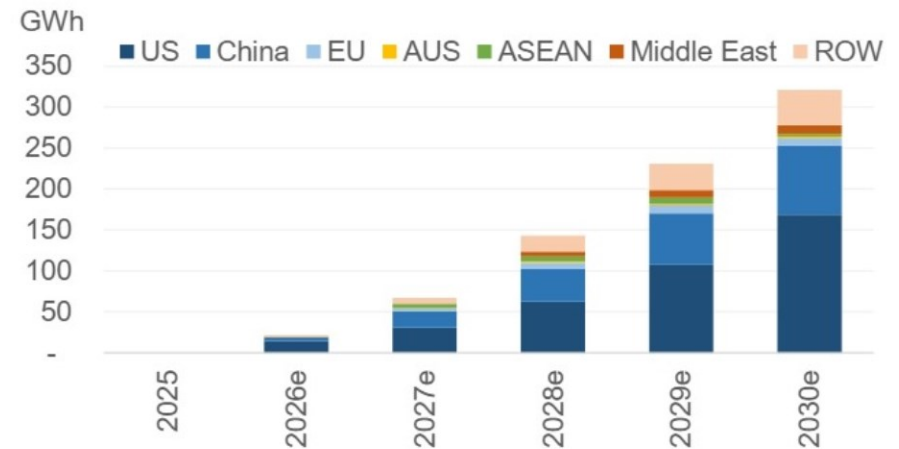
Key Developments in Strength #1: Power

Power consumption shifting from training workload to inference...



...making opportunities for the energy storage system (ESS)

Global ESS annual incremental deployment forecast for data centers



Source: Rystad, Morgan Stanley Research estimates. For more details, see [China AI 2.0 – Entering a New Phase \(10 May 2026\)](#).

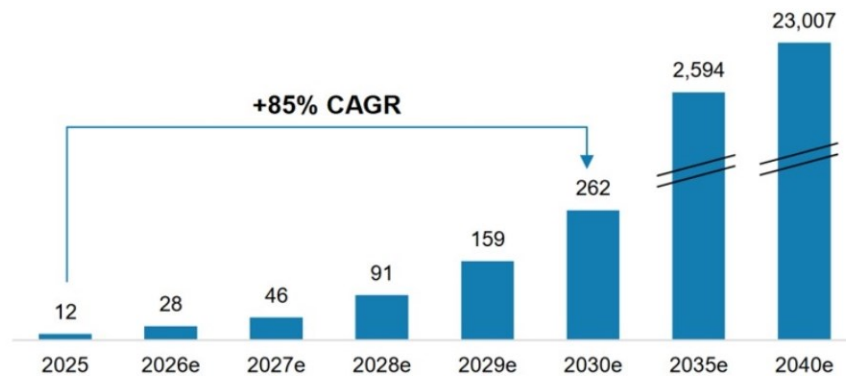
Structural Opportunities

Key Developments in Strength #2: Humanoids

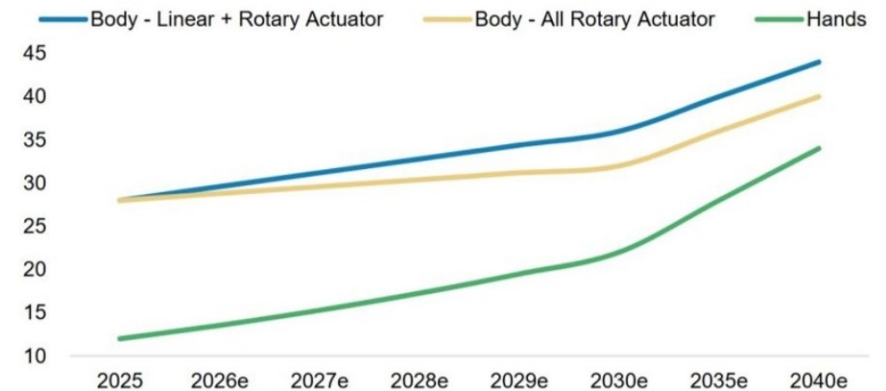
Our China Industrials team has revised its humanoid sales estimate to 28k units for 2026...

...and expects humanoids to eventually be more capable, accomplished by an increasing degree of freedom

China Humanoid Sales ('k unit)



Humanoid Degree of Freedom (DoF) Trend



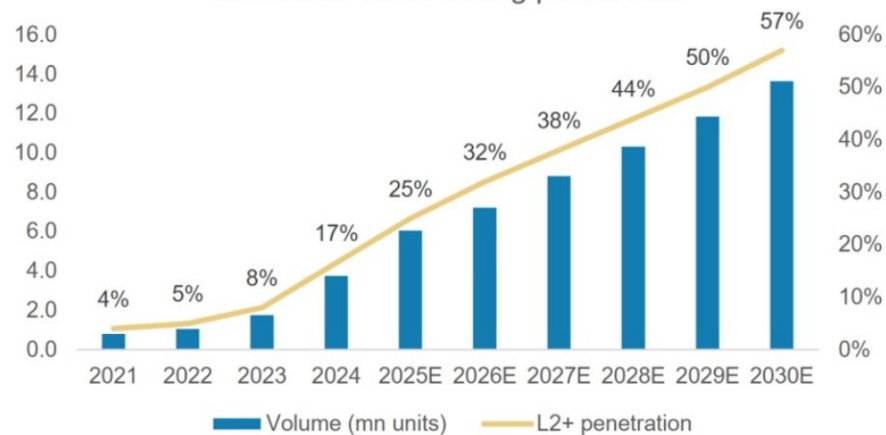
Source: Morgan Stanley Research estimates. For more details, see [2026 Outlook – Humanoids: Commercialization \(21 January 2026\)](#).

Structural Opportunities

Key Developments in Strength #3: Autonomous Driving

Our China Autos team expects L2+ smart driving penetration to reach 32% in 2026 and 50%+ in 2030 (vs. 25% in 2025)

China L2+ smart driving penetration



China's robotaxi fleet size to reach 360-400k units by 2030, accounting for 8% of total taxi/ride-sharing fleet size

China robotaxi forecast

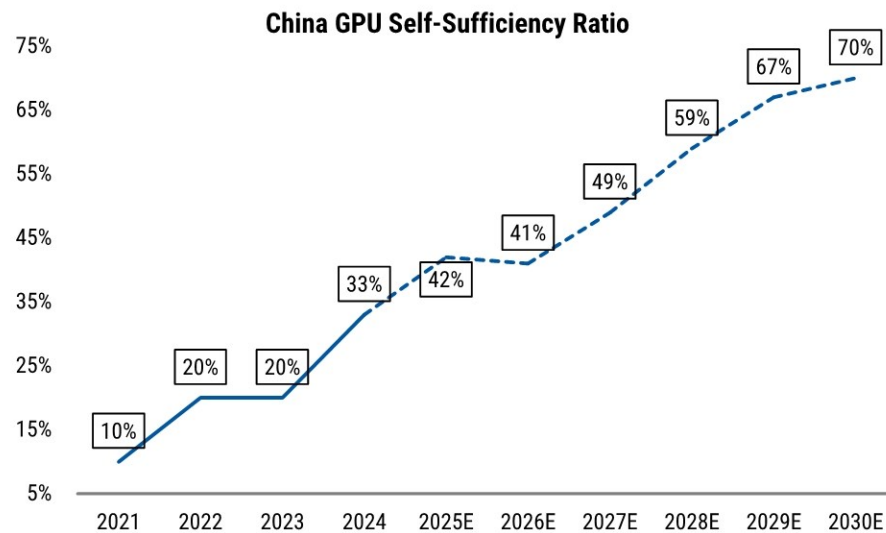


Source: NT Times, Morgan Stanley Research estimates. For more details, see [China AI 2.0 – Entering a New Phase \(10 May 2026\)](#).

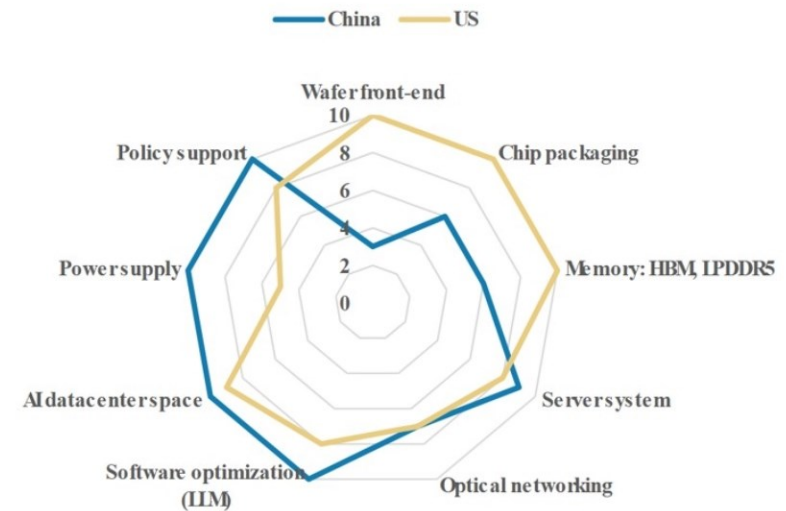
Structural Opportunities

China: AI Enabler

China's AI chip self-sufficiency is likely to reach 70% in 2030



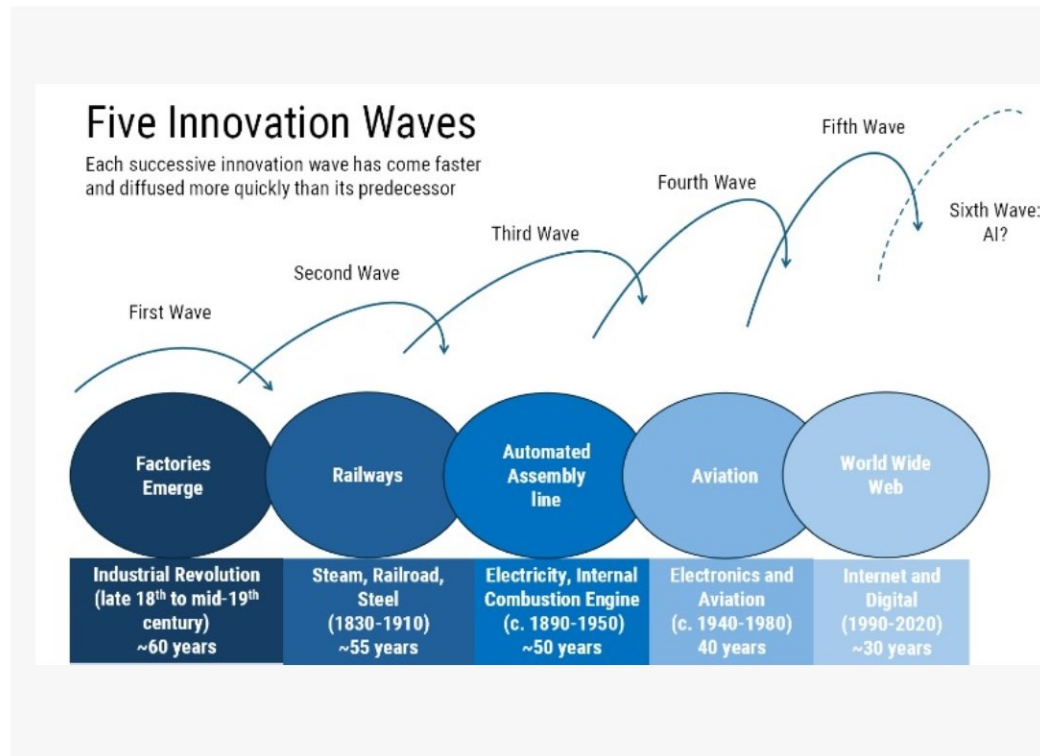
Relative strengths of US and China AI industries



Source: Company data, Morgan Stanley Research estimates. For more details, see [China AI 2.0 – Entering a New Phase \(10 May 2026\)](#).

Structural Opportunities

AI Impact: Lessons from the Five Innovation Waves



01 Productivity gains are likely

02 Labor Displacement Is Transitional

03 Boom-Bust Cycles Are Probable

04 Inequality Risks Are Elevated

05 Education and Re-skilling Will Be Decisive

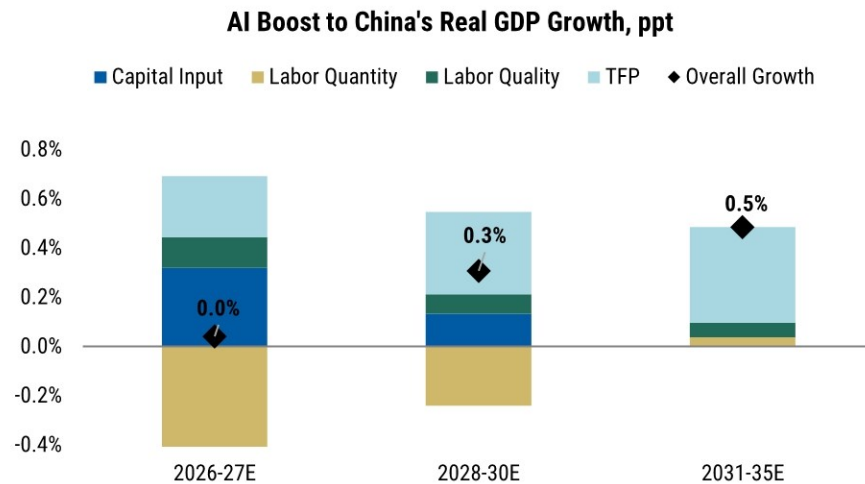
06 Policy Matters

Source: Morgan Stanley Research. For more details, kindly see [Lessons from the Five Innovation Waves That Preceded AI \(6 April 2026\)](#).

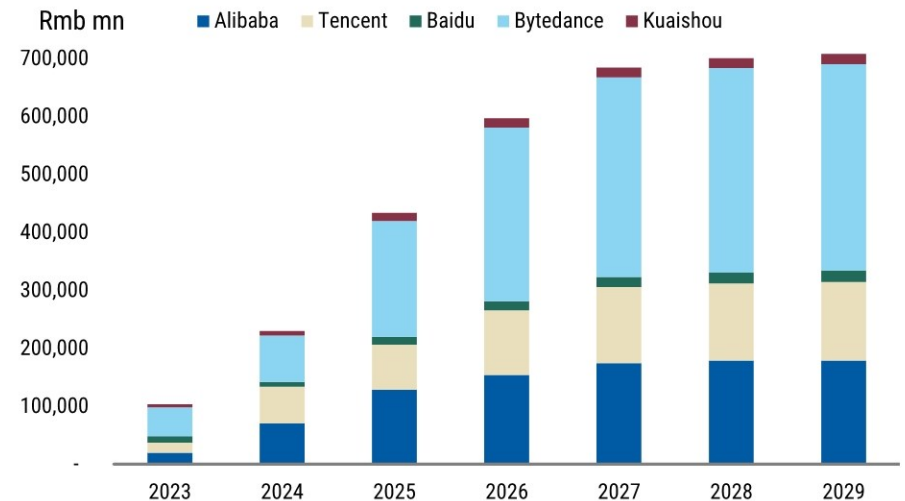
Structural Opportunities

What Rapid AI Diffusion Means for China's Economy

AI's impact on China's GDP growth: Near-term neutral, long-term positive



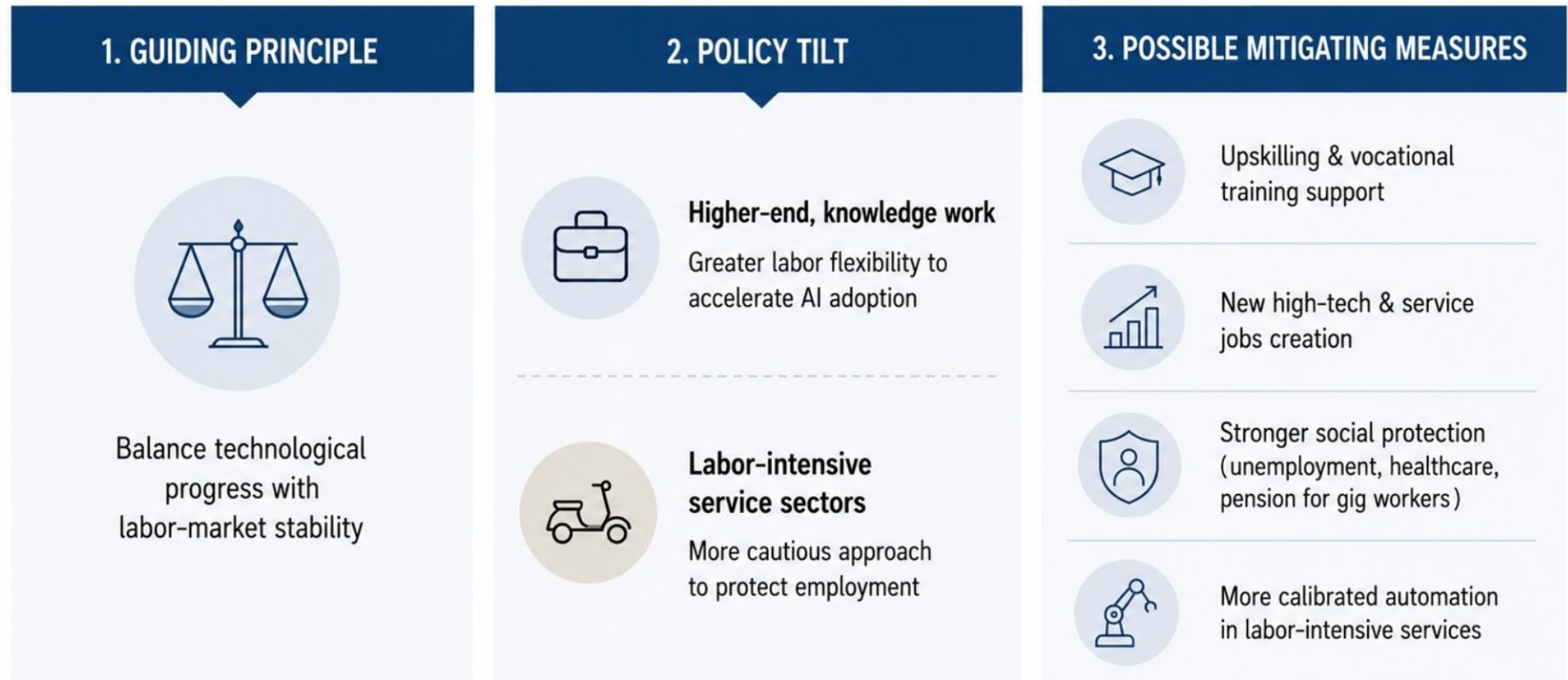
Hyperscalers to step up AI-related capex significantly over the next two years



Source: CEIC, company data, Morgan Stanley Research estimates.

Structural Opportunities

What to Expect on Policy Mitigation

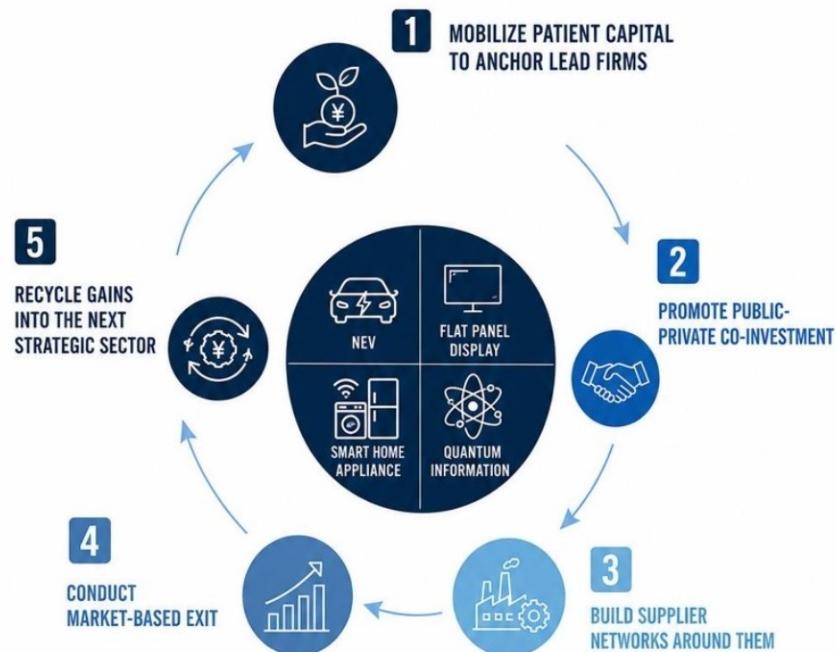


Source: Morgan Stanley Research.

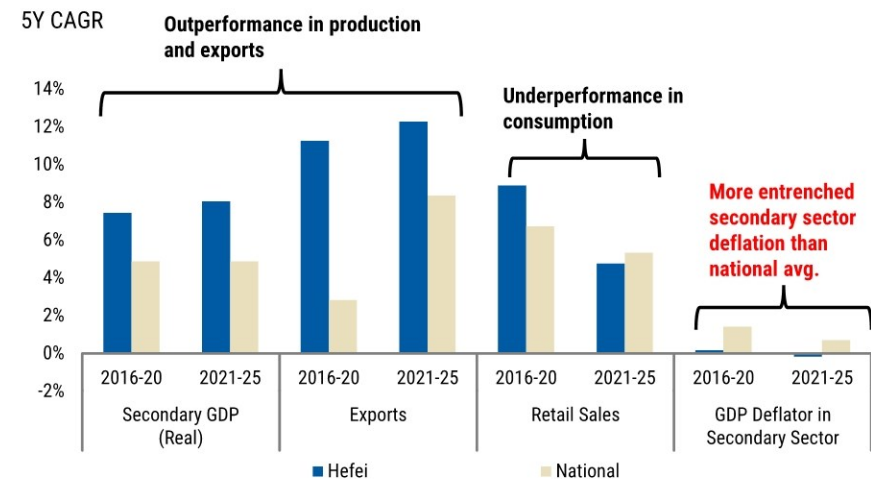
Gradual Rebalancing

Industrial Policy: Lessons from the “Hefei Model”

Hefei’s recipe for success: Ecosystem planner, not blanket subsidy provider



Even Hefei itself is not immune to overcapacity and deflation problems



If many regions imitate the same surface tools – large upfront government seed capital and buildup of industrial parks, and focus on the same frontier sectors, it may compound the overcapacity problem nationwide

Source: Morgan Stanley Research.

Gradual Rebalancing

Reforms Are Needed to Alleviate the Overhang from Legacy Issues

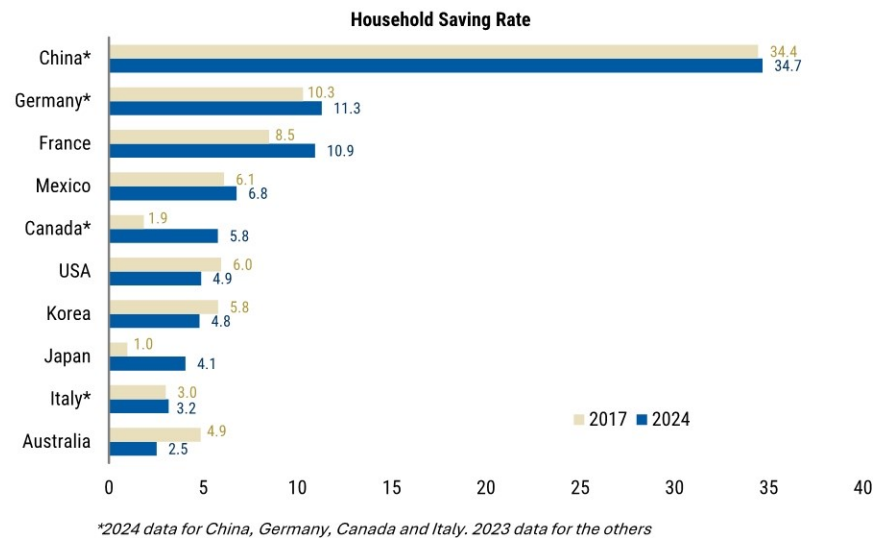


Source: Morgan Stanley Research.

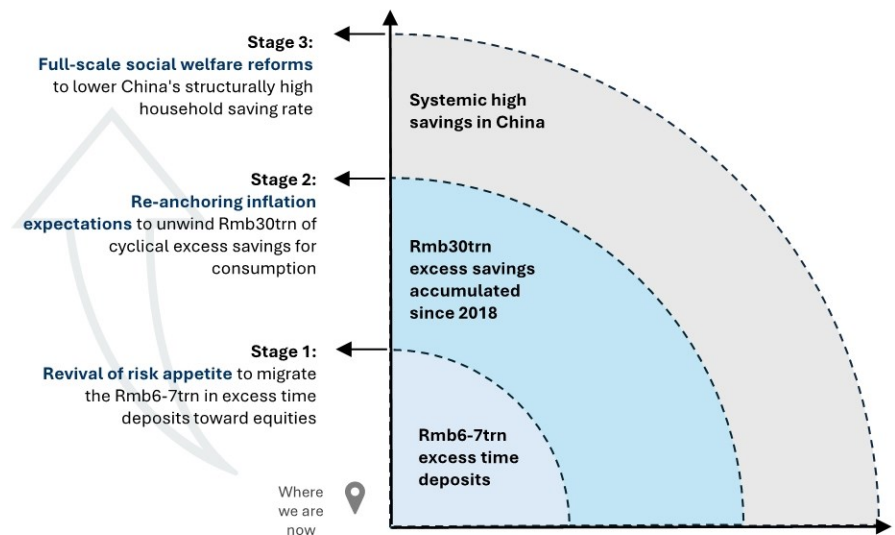
Gradual Rebalancing

Unlock China's Household Savings...

China's household saving rate remains elevated



A three-stage roadmap to unwind household savings

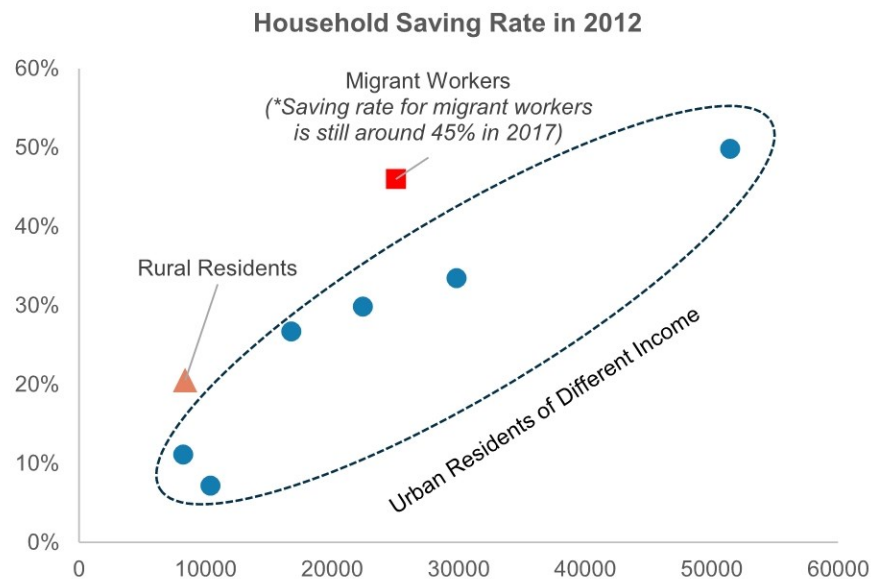


Source: Haver, OECD, Morgan Stanley Research.

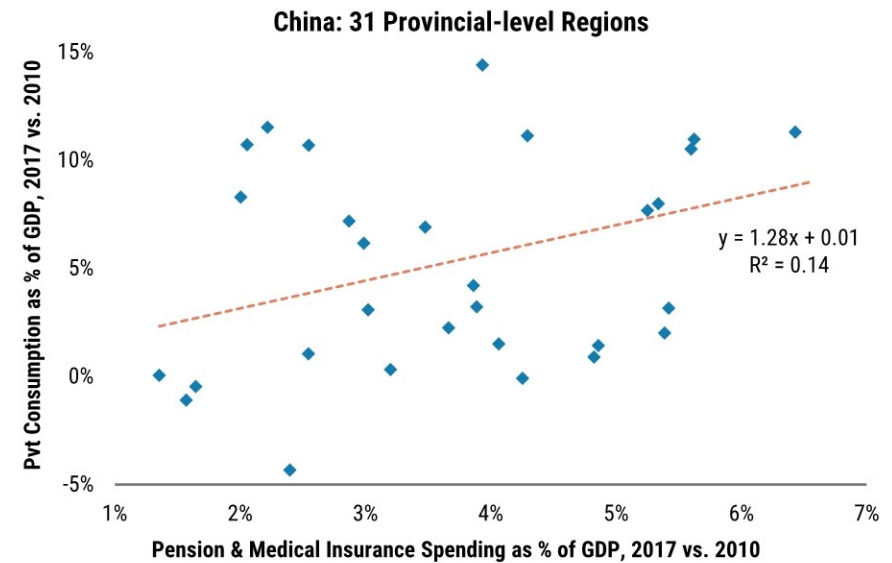
Gradual Rebalancing

...with Social Welfare Reform

Income redistribution toward lower-income households that exhibit a higher marginal propensity to consume



Provincial data show rising social welfare spending associated with higher consumption share in GDP



Source: CEIC, Morgan Stanley Research.

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